

While businesses face the daily choice of how fast to reinvent themselves, the same can be said of investors, who must not only psychologically condition themselves to question the status quo (including their own) but to gird for the surprises that will inevitably occur that will impact positions in their portfolio. As the Roman philosopher Pliny the Elder noted two thousand years ago, “The only certainty is that nothing is certain,” or as has been attributed to that modern-day philosopher Mike Tyson: “Everyone has a plan till they get punched in the mouth.”⁵ Knowing there will be surprises takes some of the emotional sting out of them when they occur, allowing for a more clinical approach to investing. It keeps us from getting scared out of investments as much as it keeps us from getting scared into them. Knowing in advance that we will periodically be out of favor helps us act rationally when we are. You can’t control broad investor behavior but you can control your own.

CONCLUSION

At the end of the day, I am a value investor because it makes sense to me and fits my risk-averse personality. While much has changed since Graham and Dodd wrote their masterwork, investing in companies at a price that offers a margin of safety continues to serve investors well. I believe that value investing is, for me, the best means to preserve capital and generate attractive returns over the long term. The most relevant financial variables and indicators may change, but the principles remain sound.

⁵ Mike Tyson, “Everyone Has a Plan till They Get Punched in the Mouth. #Miketyson #Vintagetyson Pic.twitter.com/Yjghgqxrkk,” Twitter, October 17, 2018, <https://twitter.com/MikeTyson/status/1052665864401633299>.